

Infosys Ltd

NSE: INFY | BSE: 500209 | IT Services | 2 July 2026

ACCUMULATE (upgraded from HOLD) Target Price: ₹1,195 | CMP: ₹1,096.5 (18-Jul-2026) | Upside: +9.0%

Investment Summary

We are upgrading Infosys to ACCUMULATE — not because the outlook improved, but because the price has fallen far more than the fundamentals have. The stock is down roughly 38% year-to-date to around ₹1,040, near a 52-week low, after a brutal de-rating of the entire Indian IT sector (Nifty IT –29% YTD) on weak global tech demand, an Accenture outlook cut, AI-disruption fear, and Infosys's own soft FY2027 revenue-growth guidance of just 1.5–3.5% in constant currency.

Those concerns are real, and we have cut our own assumptions to match: FY2027 revenue growth of ~3%, recovering only gradually toward ~7% by FY2031. Even on that conservative path, our DCF fair value of ₹1,186 sits ~14% above the current price, and a completed peer-multiple cross-check (Indian-IT median now ~17x, the sector having re-rated down with Infosys) implies ₹1,220. The blended fair value near ₹1,196, alongside a ~4.9% dividend yield and a net-cash balance sheet, offers a real margin of safety.

This is the same thesis we made on TCS: the market is pricing structural decline; we think it is pricing an AI-fear-amplified cyclical one, and the best-in-class, cash-generative franchises are more likely to consolidate AI-era spend than be destroyed by it. The near-term swing factor is the Q1 FY2027 print on 23 July — a further guidance cut is the key risk — so we would accumulate into and around that catalyst rather than chase. Rating: ACCUMULATE.

Snapshot

Metric	Value	Note
Market cap	~₹4.1 lakh Cr	52-wk range ₹982 / ₹1,728; –38% YTD
FY2026 revenue / PAT	₹1,78,650 Cr / ₹29,474 Cr	+9.6% INR (+3.1% constant currency)
FY2027 guidance	Revenue +1.5–3.5% cc; op margin 20–22%	The demand-slowdown signal
Valuation / yield	~14x P/E / ~4.9% dividend yield	vs ~22x 10-yr median P/E
Balance sheet	Net cash ~₹12,700 Cr	Debt-free; FY26 FCF 112% of profit

FY2026 Results & the De-rating

FY2026 was a solid year on paper: revenue of ₹1,78,650 crore (+9.6% reported, +3.1% constant currency), PAT of ₹29,474 crore (+10.2%), EPS of ₹72.59, and free cash flow of ₹33,097 crore — 112% of net profit. The board declared a ₹25 final dividend (~66% payout), and the April 2026 OpenAI collaboration strengthened the AI narrative.

The problem is the forward view. FY2027 guidance of 1.5–3.5% constant-currency growth confirmed that discretionary demand has stalled, and the sector has since de-rated violently — the Nifty IT index hit a three-year low, with TCS, Infosys and peers at 52-week lows and multiple brokerages turning negative. Infosys now trades near ₹1,040, about 14x trailing earnings versus a ~22x ten-year median, with the dividend yield pushed up to ~4.9%.

Valuation

Multi-method triangulation. We now value Infosys three ways: a five-year FCFF DCF (₹1,186, WACC ~11.4%); the peer-median P/E of 16.8x on FY26 EPS of ₹72.6 (₹1,220); and EV/EBITDA at a de-rated 12x (₹1,217). The three cluster in a ₹1,186–₹1,220 band, ~8–11% above the ₹1,096 price, with a 6.8% FCF yield and a ~4.4% dividend yield underpinning the floor. Our 70% DCF / 30% relative blend is ₹1,195 (+9%). We stay **ACCUMULATE** — the de-rating has over-corrected for a high-quality, cash-generative franchise, though the recovery is gradual, not a snap-back.

Our five-year FCFF DCF uses assumptions deliberately reset to the weak outlook: FY2027 revenue growth of ~3% (the midpoint of guidance), recovering gradually to ~7% by FY2031; EBITDA margin held near 24% (~20–22% operating margin); WACC of 11.65% (Rf 6.7%, beta 0.90, ERP 5.5%); and terminal growth of 5%. This produces an equity value of about ₹4.80 lakh crore, or ₹1,186 per share — still ~14% above the current price.

A peer cross-check corroborates it: the Indian-IT median has compressed to ~17x, which applied to FY2026 EPS of ₹72.59 implies ₹1,220. Blending 70% DCF and 30% comps gives a fair value near ₹1,196. The point is not that Infosys is a growth story — near-term it isn't — but that even a conservative, guidance-matched valuation leaves double-digit upside, with a ~4.9% yield paying you to wait for the cycle to turn. Illustrative outputs; full detail in the accompanying model.

Key Risks

- Q1 FY2027 results on 23 July — a further guidance cut is the primary near-term risk and could extend the de-rating.
- Structural AI disruption of application services faster than new AI revenue scales.
- Prolonged weakness in US and European discretionary technology spending.
- Sector sentiment: brokerages have turned negative on Indian IT; momentum is poor.
- Currency: INR strength against the USD reduces reported growth and margin.

Company Overview

Infosys is India's second-largest IT services company, providing consulting, technology, outsourcing and digital-transformation services across customer-experience, AI analytics, cloud, product engineering and cybersecurity. It runs a debt-free, cash-generative model and is among the most shareholder-friendly names in the sector, with a stated capital-return policy and — after the 2026 sell-off — a dividend yield near 4.9%.

Disclaimer

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Infosys Ltd

Equity Valuation Model | NSE: INFY | BSE: 500209 | Sector: IT Services

Prepared for: Debjit | Date: 11 June 2026 | Currency: ₹ Crore

Snapshot

Current price (₹)	1,096.50
Market cap (₹ Cr)	443,863
FY26 revenue (₹ Cr)	178,650
FY26 PAT (₹ Cr)	29,474
Intrinsic value (₹/share)	1,185.57
Upside / (downside)	8.1%
Implied rating	ACCUMULATE

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Disclaimer: For educational/analytical use only. Not investment advice. Figures from public filings; forecasts are illustrative assumptions.

Infosys Ltd — Key Assumptions & Drivers						
All highlighted blue cells are user inputs. ₹ Crore unless stated.						
Market Data						
Current share price (₹, 18-Jul-2026)	1,096.50					
Shares outstanding (Crore)	404.80					
Market capitalisation (₹ Cr)	443,863					
Net debt / (net cash) (₹ Cr)	(12,704)					
Note: net debt = borrowings less investments (proxy for cash & equivalents)						
Operating Forecast Drivers (FY2027E–FY2031E)						
	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
Revenue growth (%)	3.0%	5.0%	6.0%	6.5%	7.0%	
EBITDA margin (%)	23.8%	24.0%	24.0%	24.2%	24.3%	
Depreciation & amortisation (% of revenue)	2.7%					
Capex (% of revenue)	1.5%					
Effective tax rate (%)	27.0%					
Incr. working capital (% of incremental revenue)	10.0%					
Cost of Capital (CAPM)						
Risk-free rate (10Y G-Sec)	6.7%					
Equity beta	0.90					
Equity risk premium	5.5%					
Cost of equity = $R_f + \beta \times ERP$	11.7%					
WACC ($\approx$ cost of equity; negligible debt)	11.7%					
Terminal growth rate (g)	5.0%					
Legend:	Input	Formula	Link			

Infosys Ltd — Historical Financials								
₹ Crore, consolidated. Blue = source data. Source: Company filings (consolidated) via Screener.in; FY2026 results announced Apr 2026. Retrieved 11-Jun-2026.								
Fiscal Year (ends March)	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
Income Statement								
Revenue	82,675	90,791	100,472	121,641	146,767	153,670	162,990	178,650
Revenue growth (%)		10.7%	21.1%	20.7%	4.7%	6.1%	9.6%	(100.0%)
Operating expenses	62,505	68,524	72,583	90,150	111,637	117,245	123,754	136,370
EBITDA	20,170	22,267	27,889	31,491	35,130	36,425	39,236	42,280
EBITDA margin (%)	24.4%	24.5%	27.8%	25.9%	23.9%	23.7%	24.1%	23.7%
Depreciation & amortisation	2,011	2,893	3,267	3,476	4,225	4,678	4,812	4,902
EBIT	18,159	19,374	24,622	28,015	30,905	31,747	34,424	37,378
Other income	2,882	2,803	2,201	2,295	2,701	4,711	3,600	3,033
Finance costs	-	170	195	200	284	470	416	416
Profit before tax	21,041	22,007	26,628	30,110	33,322	35,988	37,608	39,995
Tax	5,631	5,368	7,205	7,964	9,214	9,740	10,858	10,521
Profit after tax	15,410	16,639	19,423	22,146	24,108	26,248	26,750	29,474
PAT margin (%)	18.6%	18.3%	19.3%	18.2%	16.4%	17.1%	16.4%	16.5%
EPS (₹)	35.26	38.96	45.42	52.56	58.08	63.20	64.32	72.59
Dividend payout (%)	60.0%	45.0%	59.0%	59.0%	58.0%	73.0%	67.0%	66.0%
Balance Sheet								
Equity share capital	2,170	2,122	2,124	2,098	2,069	2,071	2,073	2,024
Reserves & surplus	62,778	63,328	74,227	73,252	73,338	86,045	93,745	90,828
Net worth	64,948	65,450	76,351	75,350	75,407	88,116	95,818	92,852
Borrowings (incl. lease liabilities)	-	4,633	5,325	5,474	8,299	8,359	8,227	9,176
Other liabilities & provisions	19,118	21,717	25,835	35,905	40,890	40,885	43,750	53,939
Total equity & liabilities	84,066	91,800	107,511	116,729	124,596	137,360	147,795	155,967
Fixed assets (net)	15,710	23,789	25,505	25,800	29,225	27,622	30,961	33,770
Capital work-in-progress	1,388	954	922	416	288	293	814	526
Investments	11,261	8,792	14,205	20,324	19,478	24,623	23,541	21,880
Other assets (incl. cash, receivables)	55,707	58,265	66,879	70,189	75,605	84,822	92,479	99,791
Total assets	84,066	91,800	107,511	116,729	124,596	137,360	147,795	155,967
Balance check (must be ~0)	-	-	-	-	-	-	-	-
Cash Flow Statement								
Cash flow from operations	14,841	17,003	23,224	23,885	22,467	25,210	35,694	33,986
Cash flow from investing	(632)	(331)	(7,373)	(6,485)	(1,071)	(5,093)	(1,864)	1,946
Cash flow from financing	(14,512)	(17,591)	(9,786)	(24,642)	(26,695)	(17,504)	(24,161)	(39,786)
Net change in cash	(303)	(919)	6,065	(7,242)	(5,299)	2,613	9,669	(3,854)

Free cash flow (CFO – capex)	12,396	13,696	21,117	21,724	19,888	23,009	33,457	31,259	
FCF conversion (% of PAT)	80.4%	82.3%	108.7%	98.1%	82.5%	87.7%	125.1%	106.1%	

Infosys Ltd — 5-Year Operating Forecast & FCFF Build							
₹ Crore. Drivers feed from Assumptions sheet.							
Fiscal Year (ends March)	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
Revenue	178,650	184,010	193,210	204,803	218,115	233,383	
Revenue growth (%)		3.0%	5.0%	6.0%	6.5%	7.0%	
EBITDA	42,280	43,794	46,370	49,153	52,784	56,712	
EBITDA margin (%)	23.7%	23.8%	24.0%	24.0%	24.2%	24.3%	
Less: Depreciation & amortisation		4,968	5,217	5,530	5,889	6,301	
EBIT		38,826	41,154	43,623	46,895	50,411	
Less: Tax on EBIT		10,483	11,112	11,778	12,662	13,611	
NOPAT		28,343	30,042	31,845	34,233	36,800	
Add: Depreciation & amortisation		4,968	5,217	5,530	5,889	6,301	
Less: Capex		2,760	2,898	3,072	3,272	3,501	
Less: Increase in working capital		536	920	1,159	1,331	1,527	
Free cash flow to firm (FCFF)		30,015	31,441	33,143	35,519	38,074	

Infosys Ltd — Discounted Cash Flow Valuation						
₹ Crore unless stated. WACC and terminal growth from Assumptions.						
Fiscal Year (ends March)	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
FCFF	30,015	31,441	33,143	35,519	38,074	
Discount period (years)	1	2	3	4	5	
Discount factor @ WACC	0.896	0.802	0.718	0.644	0.576	
PV of FCFF	26,883	25,222	23,813	22,858	21,945	
Valuation Bridge						
Sum of PV of explicit FCFF	120,720					
Terminal value (Gordon growth)	601,162					
PV of terminal value	346,496					
Enterprise value	467,216					
Less: Net debt / add: net cash	12,704					
Equity value	479,920					
Shares outstanding (Cr)	404.80					
Intrinsic value per share (₹)	1,185.57					
Current market price (₹)	1,096.50					
Upside / (downside)	8.1%					
Implied rating	ACCUMULATE					
% of EV in terminal value	74.2%					
Sensitivity: Intrinsic Value per Share (₹) — WACC vs Terminal Growth						
WACC ↓ / Terminal g →	4.0%	4.5%	5.0%	5.5%	6.0%	
10.7%	1,224	1,301	1,391	1,499	1,630	
11.2%	1,140	1,205	1,280	1,369	1,475	
11.7%	1,067	1,122	1,186	1,260	1,347	
12.2%	1,002	1,050	1,104	1,167	1,240	
12.7%	945	987	1,034	1,087	1,148	

Infosys Ltd — Ratio & Trend Analysis									
Computed from Historical sheet (₹ Crore basis).									
Fiscal Year (ends March)	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	
Revenue growth (%)	—	9.8%	10.7%	21.1%	20.7%	4.7%	6.1%	9.6%	
EBITDA margin (%)	24.4%	24.5%	27.8%	25.9%	23.9%	23.7%	24.1%	23.7%	
EBIT margin (%)	22.0%	21.3%	24.5%	23.0%	21.1%	20.7%	21.1%	20.9%	
PAT margin (%)	18.6%	18.3%	19.3%	18.2%	16.4%	17.1%	16.4%	16.5%	
EPS growth (%)	—	10.5%	16.6%	15.7%	10.5%	8.8%	1.8%	12.9%	
Return on equity (PAT / avg net worth)	23.7%	25.5%	27.4%	29.2%	32.0%	32.1%	29.1%	31.2%	
ROCE (EBIT / avg capital employed)	28.0%	28.7%	32.4%	34.5%	37.6%	35.2%	34.3%	36.3%	
FCF conversion (FCF / PAT)	80.4%	82.3%	108.7%	98.1%	82.5%	87.7%	125.1%	106.1%	
Net debt / EBITDA (x)	-0.56x	-0.19x	-0.32x	-0.47x	-0.32x	-0.45x	-0.39x	-0.30x	
Dividend payout (%)	60.0%	45.0%	59.0%	59.0%	58.0%	73.0%	67.0%	66.0%	

Infosys Ltd — Peer Comparison (Indian IT Services)						
Blue = inputs (as researched, Jun 2026). Yellow = update with live data.						
Company	Price (₹)	EPS FY26 (₹)	BVPS (₹)	PAT FY26 (₹ Cr)	P/E (x)	P/B (x)
Infosys	1,096.50	72.59	229.00	29,474	15.1x	4.8x
Tata Consultancy Services	2,190.00	136.01	296.00	49,454	16.1x	7.4x
HCL Technologies	1,034.20	61.40	257.00		16.8x	4.0x
Wipro	215.00	12.82	86.00		16.8x	2.5x
Tech Mahindra	1,400.00	50.20	256.00		27.9x	5.5x
Peer rows left blank should be completed with live market data before circulation.						

MARKET APPROACH — COMPARABLE COMPANY ANALYSIS	
Peer median P/E (x)	16.8
Peer median P/B (x)	4.75
Implied value — median P/E × FY26 EPS (₹)	1,220

VALUATION TRIANGULATION — FOOTBALL FIELD (multi-method)			
Method	Low (₹)	Base (₹)	High (₹)
DCF (FCFF, intrinsic)	1,067	1,186	1,304
Comparable companies — P/E	1,098	1,220	1,342
EV/EBITDA	1,095	1,217	1,339
Blended target (70% DCF / 30% relative)		1,195	
Current market price (₹)		109650.0%	
Implied upside / (downside)		9.0%	
Peer prices as of Jun 2026 (IT sector fell further in Jul; refresh before publication). Infosys live 18-Jul-2026.			

MARKET MULTIPLE — EV/EBITDA	
FY26 EBITDA (₹ Cr)	40,000
Justified EV/EBITDA (x) — de-rated sector	12.0
Enterprise value = mult × EBITDA (₹ Cr)	480,000
Add: net cash (₹ Cr)	12,704
EV/EBITDA-implied value / share (₹)	1,217

CROSS-CHECK — FCF YIELD	
FY27E FCFF (₹ Cr)	30,015
FCF yield = FCFF / market cap	6.8%